

MK FRAUD READINESS

Board readout

Comprehensive evidence review · Kestrel Industrial Supply (Pty) Ltd

Named reviewer: Independent review lead

Decision context

Approve the Financial Controller mandate for detection ownership and evidence-led oversight.

The recorded result needs bounded reliance

The deterministic readiness result remains unchanged by reviewer narrative. The evidence review determines how confidently management and the board can rely on the recorded position.

Deterministic readiness 55 / 100 · Developing	Exposure Not scored	Validated / supported 3 of 12 items	Unresolved 8 evidence items
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Board reading: treat the score as the recorded self-assessment result; treat validated / supported statements as limited to the named evidence scope.

What was actually validated

Supported in review

Committee oversight does not yet evidence a complete fraud-risk cycle

The reviewer position for committee oversight does not yet evidence a complete fraud-risk cycle is bounded by the named artefact and stated scope.

Unresolved uncertainty

Supplier onboarding sample pack and due-diligence exceptions

Population completeness or recency could not be established.

User access recertification export and removal log

Population completeness or recency could not be established.

Plausible pathways show how exposure may develop

The scenarios below are plausible, organisation-specific pathways linked to the recorded control and exposure universe. They are not allegations.

Supplier bank-detail redirection

Entry point: A stale or excessive account remains active. · Mechanism: An unauthorised change is made and the audit trail is obscured or discovered late.

Control bypassed: Role-based access review; Exception escalation; Removal evidence · Concealment: Activity is blended into ordinary operational changes. · Consequence: Unauthorised payments or value leakage.; Containment and investigation are delayed. · Warning: Overdue access exceptions; Unusual change outside role pattern · Immediate containment: Review privileged and high-risk access exceptions. · Long-term response: Implement a complete review and removal rhythm.

Incident escalation delay

Entry point: A stale or excessive account remains active. · Mechanism: An unauthorised change is made and the audit trail is obscured or discovered late.

Control bypassed: Role-based access review; Exception escalation; Removal evidence · Concealment: Activity is blended into ordinary operational changes. · Consequence: Unauthorised payments or value leakage.; Containment and investigation are delayed. · Warning: Overdue access exceptions; Unusual change outside role pattern · Immediate containment: Review privileged and high-risk access exceptions. · Long-term response: Implement a complete review and removal rhythm.

Privileged access misuse

Entry point: A pattern changes after the last rule review. · Mechanism: Activity continues below or outside stale thresholds until a manual review identifies it.

Control bypassed: Fixed review cycle; Rule validation; Exception reporting · Concealment: Activity resembles normal volume or is split across channels. · Consequence: Losses accumulate before detection.; Alert queues become noisy and less trusted. · Warning: Rising false negatives; Unreviewed high-risk rules · Immediate containment: Review high-risk rules and open detection exceptions. · Long-term response: Establish monthly tuning and sign-off.

Scenario completeness: actor/opportunity, entry point, mechanism, control bypassed, concealment, consequence, warning indicators, containment and long-term response.

Leadership choices define ownership and trade-offs

Approve the Financial Controller mandate for detection ownership and evidence-led oversight.

Option B provides the fastest independent capability uplift but creates recurring cost and a handover dependency.

OPTIONS · OPTION A: ASSIGN OWNERSHIP INTERNALLY; OPTION B: APPOINT A SPECIALIST PARTNER FOR THE FIRST CYCLE; OPTION C: COMBINE INTERNAL OWNERSHIP WITH TARGETED SPECIALIST VALIDATION.

TRADE-OFFS · OPTION B PROVIDES THE FASTEST INDEPENDENT CAPABILITY UPLIFT BUT CREATES RECURRING COST AND A HANDOVER DEPENDENCY.

REVIEWER RECOMMENDATION · SELECT OPTION B: APPOINT A SPECIALIST PARTNER FOR THE FIRST CYCLE BECAUSE IT GIVES FINANCIAL CONTROLLER A NAMED FIRST DELIVERABLE AND AN INDEPENDENT REVIEW CHECKPOINT.

MANAGEMENT / BOARD DECISION · MANAGEMENT TO CONFIRM FINANCIAL CONTROLLER AS ACCOUNTABLE AND RECORD THE SELECTED OPTION.

OWNER

Financial Controller

TIMING · 29 NOVEMBER 2026

STATUS · ACCEPTED

Approve the operating model for supplier bank-detail verification.

Centralisation improves consistency; business-owner confirmation preserves context; a service improves scale but adds vendor dependency.

OPTIONS · OPTION A: CENTRALISE VERIFICATION IN ACCOUNTS PAYABLE; OPTION B: REQUIRE BUSINESS-OWNER CONFIRMATION; OPTION C: USE A BANK-VALIDATION SERVICE WITH EXCEPTION REVIEW.

TRADE-OFFS · CENTRALISATION IMPROVES CONSISTENCY; BUSINESS-OWNER CONFIRMATION PRESERVES CONTEXT; A SERVICE IMPROVES SCALE BUT ADDS VENDOR DEPENDENCY.

REVIEWER RECOMMENDATION · SELECT OPTION B: REQUIRE BUSINESS-OWNER CONFIRMATION BECAUSE IT GIVES CHIEF FINANCIAL OFFICER A NAMED FIRST DELIVERABLE AND AN INDEPENDENT REVIEW CHECKPOINT.

MANAGEMENT / BOARD DECISION · MANAGEMENT TO CONFIRM CHIEF FINANCIAL OFFICER AS ACCOUNTABLE AND RECORD THE SELECTED OPTION.

OWNER

Chief Financial Officer

TIMING · 30 OCTOBER 2026

STATUS · OPEN

Approve the sequence for privileged-access exception closure.

Closing dormant access reduces immediate exposure; redesign is more durable; parallel work requires stronger delivery capacity.

OPTIONS · OPTION A: CLOSE DORMANT ACCESS FIRST; OPTION B: REDESIGN ROLE PROFILES FIRST; OPTION C: RUN BOTH TRACKS WITH WEEKLY EXCEPTION GOVERNANCE.

TRADE-OFFS · CLOSING DORMANT ACCESS REDUCES IMMEDIATE EXPOSURE; REDESIGN IS MORE DURABLE; PARALLEL WORK REQUIRES STRONGER DELIVERY CAPACITY.

REVIEWER RECOMMENDATION · SELECT OPTION B: REDESIGN ROLE PROFILES FIRST BECAUSE IT GIVES CHIEF INFORMATION OFFICER A NAMED FIRST DELIVERABLE AND AN INDEPENDENT REVIEW CHECKPOINT.

MANAGEMENT / BOARD DECISION · MANAGEMENT TO CONFIRM CHIEF INFORMATION OFFICER AS ACCOUNTABLE AND RECORD THE SELECTED OPTION.

OWNER

Chief Information Officer

TIMING · 30 OCTOBER 2026

STATUS · OPEN

05 / 07 · Decisions, options and trade-offs are traceable in the annotated register. Decision completeness: Option A, Option B and Option C are viable options; each option has cost, benefit, trade-off and rejection reason where not selected; recommendation, recommendation rationale, owner and target date are recorded.

Approve the independent reporting and incident-learning improvement route.

An independent channel increases confidence quickly; a

OWNER

Chief People Officer

TIMING · 29 NOVEMBER 2026

Sequenced action builds a repeatable control cycle

30 days

Approve the detection ownership mandate and first evidence cycle.

Financial Controller ·
Approved access review export, exception log and removal evidence.

Run the first fixed-cycle detection tuning review.

Chief Information Officer ·
Approved access review export, exception log and removal evidence.

Review segregation-of-duties overrides and expiry.

Financial Controller ·
Approved access review export, exception log and removal evidence.

60 days

Reconcile supplier bank-detail changes and add independent verification.

Chief Information Officer ·
Tuning log, evidence review results and approvals.

Link incident closure to root cause and control improvement.

Financial Controller ·
Tuning log, evidence review results and approvals.

Reconcile role-based awareness coverage.

Chief Information Officer ·
Tuning log, evidence review results and approvals.

90 days

Close dormant privileged access and govern emergency access.

Financial Controller ·
Completion report, role map and effectiveness review.

validate independent reporting route coverage.

Chief Information Officer ·
Completion report, role map and effectiveness review.

Approve the detection ownership mandate and first evidence cycle.

Financial Controller ·
Completion report, role map and effectiveness review.

12-month anchor: maintain an evidence-backed control cycle, close the high-priority gaps and report the open evidence count and overdue decisions.

The board should track evidence, ownership and ageing

Validation coverage

Supported items ÷ total evidence items in scope.

Unresolved evidence

Count and age of self-reported or insufficient items.

Action ageing

Open, blocked and overdue management actions by owner.

Risk movement

Priority risk changes, accepted residual risk and scenario indicators.

NEXT BOARD CHECKPOINT

Review the agreed action set by 29 November 2026, with evidence and owner updates.

Control completeness: What (objective); Who (accountable executive); Population (complete in-scope population); Frequency (operating cycle); Evidence retained; Independent check; Escalation trigger / recipient; SLA; Effectiveness measure; Failure response.

Exhibits E1, E2, E3, E4, E5, E6, E7, E8, E9 and E10 carry the claim and source structure. Methodology and limitations: this readout is bounded by the named review scope and is not a legal, forensic or certification conclusion.